



MERCK

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Company Overview

Background:

- Founded in Germany 1981, Merck is a global pharmaceutical company aimed at developing medicines, vaccines, and animal health products

Global Reach:

- Merck has a global presence in nearly 80% of countries worldwide
- They have 72,000 employees in total

Impact:

- Developed Keytruda, a leading cancer immunotherapy treatment.
- Founded Mectizan Donation Program to eliminate river blindness

Values:

- Prioritize patients, upholding ethics and integrity while driving innovation and scientific excellence

Financial Health:

- Made \$64 Billion in revenue, 2024 (6.4% increase)
- \$38 billion in debt, due to R&D investment
- Market Insights; \$220.79B Market Cap, P/E Ratio is 12.95, & Dividend Yield 3.24 (3.28%)



Strategy

Launching NovaCure:

- Achieve nonfinancial target of Access to Health. To prioritize products are accessible and affordable to those in need.

Financials:

- Annual Revenue: \$750 million
- Gross Profit Margin: 60%
- Net Income: \$225 million

Strategy B

Pros

- Greater Patient Access
- Positive Brand Reputation & Corporate social Responsibility
- Long term Market Share & Loyalty
- Future Government partnerships

Cons

- Lower revenue & profitability
- Loss in investor confidence
- Budget constraints for future R&D
- Competitor pricing pressure

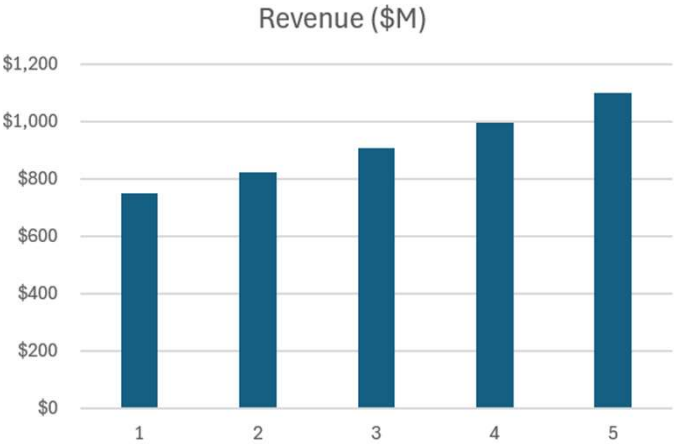
“We can never rest until a way has been found to bring our finest achievements to everyone,”

- George W. Merck



Five Year Financial Projection

Year	Revenue (\$M)	Gross Profit (\$M)	Net Income (\$M)
2025	\$750	\$450	\$225
2026	\$825	\$495	\$247.50
2027	\$907.50	\$544.50	\$272.25
2028	\$998.25	\$598.95	\$299.48
2029	\$1,100	\$660	\$329.43



Company Overview

Lower Revenue Profitability



- Aiming for long term growth will beat short term gains. Lower pricing = more patients = stronger customer base = sustainable growth.
- Any current financial loss will be offset by Merck's flagship cancer drug Keytruda, which employs value-based pricing, saw sales increase by 18% to \$29.5 billion in 2024.

Loss in Investor Confidence



- Merck demonstrated strong financial health in 2024 sales of \$64. (6% increase), driven by growth in key products like Keytruda and Winrevair.
- Ethical Responsibility build stronger brand report and in todays world ESG standards are on the rise. With products with ESG-related claims achieved a 6.4% compound annual growth rate (CAGR), compared to 4.7% for non-ESG products.

Budget Constraints for Future R&D



- Adopt more efficient R&D practices, in fact, smaller biopharmaceutical companies produce 4.5 new molecular entities per \$1 billion of R&D spending, compared to 0.7 for large pharmaceutical companies.
- Conduct strategic portfolio to set clear long-term goals and allocate resources effectively, ensuring affordable pricing while still supporting R&D.

Competitor Pricing Pressure



- Increased sales volume can compensate for lower per-unit prices.
- By establishing itself as an affordable brand, Merck can deter competitors like Civica Rx. Furthermore, Studies show that 88% of consumers prefer brands that take action on social issues, which can include improving drug affordability.

Internal & External Stakeholders:

Internal stakeholders, such as employees and executives, will be impacted by Merck's decisions to lower prices and prioritize affordability. For example, revenue will go down leading to a lower budget for R&D spending. In fact, in 2022 Merck \$13.5 billion to R&D leading to 20 potential new "blockbuster" drugs that could collectively generate \$50 billion in peak annual sales.

External stakeholders, including shareholders and patients, benefit from more affordable strategies. Shareholders value long term growth, while patients want easy and affordable products. In fact, the global pharmaceutical industry's generated \$1.6 trillion revenue in 2024 just by expanding access.



Recommendation

Social Responsibility

- **Merck's strong brand reputation** is built on its commitment to ethical practices, innovation, and patient care, leading to long term customer loyalty among patients and external investors.
- **ESG focused companies** are the current consumer demands, and addressing affordability ensures long term market growth.

Financial Overview

- **Merck's strong financial positioning** and high revenue products like Keytruda, allows flexibility to prioritize affordability goals rather than profitability.
- **Efficient R&D allocation**, benefit employees and executives by enhancing blockbuster products.

Recommendation

Launching NovaCure as an affordable drug enhances accessibility and affordability aligning with Merck's core values. By focusing on affordability, Merck not only strengthens its reputation as a trusted socially responsible company but also builds long-term loyalty and market growth, while relying on its strong financial foundation and to continue driving innovation.

Appendix

- <https://www.brookings.edu/articles/addressing-the-trade-off-between-lower-drug-prices-and-incentives-for-pharmaceutical-innovation/>
- <https://finance.yahoo.com/quote/MRK/>
- https://www.merck.com/wp-content/uploads/sites/124/2024/08/Merck_ImpactReport_2023-2024.pdf
- https://s21.q4cdn.com/488056881/files/doc_financials/2024/q4/Q4-2024-Merck-Earnings-Deck-Final.pdf
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